

ISCEA Global Case Competition

Country Level Round

Indonesia

2026

This case study was written by Lala Ayu Kantari and I Nyoman Pujawan, ISCEA Indonesia. It is intended to be used for the 2026 global case competition at the country level in Indonesia. The data and description in this study do not represent any actual company.

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Delivering Promises

“Shipping over 1.46 billion packages nationwide by 2024 marks a new starting point for GC Logistics to keep strengthening its network, drive innovation, and meet market needs” – Rio, Vice President of GC Logistics

At 8:00 AM Jakarta time, Rio, Vice President of GC Logistics, stopped by the finance manager’s office for an informal discussion. The finance manager pulled up the company’s quarterly performance dashboard and walked Rio through the figures, highlighting several areas that deserved closer attention. The headline numbers looked encouraging. GC Logistics remained the market leader in Indonesia, with a 20.6% market share by parcel volume in 2024, maintaining its position for five consecutive years. The company had also turned a corner financially, reporting positive adjusted EBIT in 2024 after recording a loss in 2023. Parcel volumes continued to climb rapidly, reaching 1.46 billion parcels in 2024, up 28% from 1.14 billion in 2023.

“On the surface, the growth looks very strong,” the finance manager said, scrolling through the dashboard. “But I’m not sure the numbers tell the whole story.”

GC Logistics’ journey was turbulent, with government policy changes, such as TikTok’s temporary e-commerce suspension, causing sharp fluctuations in package volumes. GC Logistics’ 2023 annual report noted a decline in parcel volume in the fourth quarter due to these policy adjustments. Meanwhile, the company’s technological advances and innovation help sustain operations and maintain efficiency and sustainability.

The fundamental question facing GC Logistics leadership was how to provide high-quality service while reducing costs.

Early Operational Challenges

When GC Logistics was launched in 2018, it was expected to create a nationwide logistics network. E-commerce in Indonesia was growing while logistics infrastructure was less developed. The rapid growth of e-commerce saw transactions reach Rp453.75 trillion in 2023. The global pandemic became a catalyst for this market. During this crisis, consumers turned to e-commerce to get products and services. While the number of internet users grew and digital infrastructure improved, shipment delays were still the main challenge when shopping online.

Indonesia presented specific operational challenges due to its island geography, infrastructure, and slow delivery services. Rio announced two goals for GC Logistics: comprehensive coverage across all islands and seven-day-a-week delivery. It was audacious in a market where consumers were accustomed to lengthy delays and poor package tracking.

In its early years, GC Logistics faced standardization issues and payment challenges. Many employee addresses lacked precise formatting, leading to numerous returned deliveries. Additionally, the preference for cash-on-delivery (COD) payments necessitated complex cash

management systems. Providing a broad range of payment options was vital for the company to overcome limited access to online channels and to help e-commerce partners expand their customer reach.

The Company has formed strong partnerships with e-commerce platforms such as Tokopedia, Shopee, and TikTok. GC Logistics offers robust infrastructure to support the fast-growing e-commerce sector and works to lower fulfilment costs, aiming to expand the market and boost market share while fostering industry growth. Additionally, the company provides extensive network capacity to help e-commerce partners address delivery challenges during peak seasons.

GC Logistics has continually led the way in industry innovation. It was the first logistics company in Indonesia to provide real-time package tracking, a groundbreaking feature in Southeast Asia at the time. This technological advancement rapidly distinguished GC Logistics from its local rivals, underscoring their commitment to advanced technology.

The quick deployment of the network, adaptation to local payment methods, and delivery preferences are crucial for early success in this business. However, this success also exposed a significant limitation: “We realized we lacked the deep operational expertise, management experience, and technical knowledge that the express delivery industry required.”

Logistics Network

GC Logistics functions under a Direct Operation Model, featuring a centralized structure where the headquarters owns and manages all aspects of the network. This includes pickup and delivery outlets, regional hubs, and line-haul transport. The outlets serve customers and merchants sending parcels via various points such as service points, agents, corporate pickups, marketplace pickups, or dedicated merchant pickups. About 62% of parcels are collected from merchants, with the remaining 38% coming from individual customers and other service points.

Parcels from direct outlets or partners are transported to regional hubs. GC Logistics manages 3200 points and 23 hubs for nationwide distribution. The Jakarta hub, being the largest, occasionally becomes overloaded. These hubs are designed for efficient warehousing, sorting, and quick collection, equipped with high-speed automatic lines. To reduce labour costs and increase throughput, GC Logistics regularly trains staff and expands automated sorting technology.

In the express delivery sector, GC Logistics streamlines its supply chain through four main steps: 'collect, sort, transport, deliver'. This process must operate across Indonesia's highly fragmented archipelagic landscape. To manage and standardize this entire operation from the initial pickup to final delivery, GC Logistics relies on the GC Management System (GCMS). The platform within GCMS enables dynamic route planning, allowing for efficient scheduling of fleet capacity.

Table 1 Regional Hubs of GC Logistics

No.	Sorting Center	Region	Capacity (M/day)	Utilisation	P/D Outlets
1	Jakarta	Java	0.563	90.4%	420
2	Bekasi–Karawang	Java	0.430	69.6%	300
3	Bandung	Java	0.328	68.9%	240
4	Semarang	Java	0.287	65.9%	180
5	Yogyakarta	Java	0.184	62.5%	120
6	Solo	Java	0.174	60.9%	110
7	Surabaya	Java	0.430	71.8%	300
8	Malang	Java	0.184	65.0%	110
9	Denpasar	Bali & Nusa Tenggara	0.225	59.3%	150
10	Mataram	Bali & Nusa Tenggara	0.102	49.5%	75
11	Medan	Sumatra	0.307	61.5%	240
12	Pekanbaru	Sumatra	0.205	56.2%	150
13	Palembang	Sumatra	0.225	57.3%	170
14	Bandar Lampung	Sumatra	0.184	52.5%	130
15	Padang	Sumatra	0.154	51.0%	100
16	Banda Aceh	Sumatra	0.102	40.5%	70
17	Banjarmasin	Kalimantan	0.184	47.5%	140
18	Balikpapan	Kalimantan	0.164	47.8%	120
19	Pontianak	Kalimantan	0.133	45.0%	100
20	Makassar	Sulawesi	0.256	48.6%	180
21	Manado	Sulawesi	0.123	41.2%	75
22	Ambon	Maluku & Papua	0.072	32.1%	55
23	Jayapura	Maluku & Papua	0.082	28.1%	55

GC Logistics employs three main transportation modes to deliver packages: land, air, and sea. Land transport mainly involves vans, trucks, and motorcycles. Air transport includes both commercial aircraft belly capacity and dedicated cargo planes during busy periods. Sea transport utilizes containerized cargo and relies on third-party shipping partners. The management of air and sea shipments is handled by these partners. As GC Logistics expanded, coordinating these land, air, and sea transportation methods became more complex.

Last-mile delivery was the most prominent aspect of GC Logistics' service. By the end of 2023, the company managed around 12500 motorcycles, 280 vans, and 560 trucks. About 70% of last-mile parcels in major urban areas were delivered via motorcycles. While motor couriers offer flexibility, they also pose challenges, including route optimisation, courier workload, traffic congestion, vehicle utilisation, fuel consumption, and delivery density.

Driven by the surge in demand during the pandemic and growth in e-commerce, GC Logistics expanded quickly from 2021 to 2023, more than doubling its network size. This significantly

increased the number of nodes and connections within its network. However, the company's costly national network became overly complex, and operational expenses grew faster than sales.

Table 2 GC Logistics Network Infrastructure (End 2020 vs End 2023)

Infrastructure	End 2020	End 2023
Network Partner	20	478
Pickup/Delivery Outlets	750	2500
Regional Hub	10	23
Line-Haul Vehicles (Total)	545	840
Self-owned Vehicles	194	260
Automated Sorting Machines (Sets)	0	7

Building, maintaining, and expanding the network has demanded enormous capital and operational resources. GC Logistics' expenses for running and staffing its physical network, comprising hubs, customer service centres, and order fulfilment and payment processing, almost doubled from 2020 to 2023. Additionally, outbound transportation and delivery costs, such as sortation, delivery hubs, and transport assets, also surged dramatically.

Table 3 Logistics Expenses Growth from 2020 to 2023

Expenses Category (in IDR Trillion)	2020	2021	2022	2023
Fulfilment Expenses	32.34	41.51	46.97	50.08
Shipping Expenses	33.76	42.38	46.14	49.46
Net Sales	213.64	259.62	284.00	317.63

Starting in 2023, an internal research team began assessing opportunities for another model to improve delivery speed and reduce costs. A new "Regional Sponsor Model" emerged. This model creates local partnerships with significant equity participation and operational independence. In this model, headquarters cannot effectively dictate local pricing strategies, customer acquisition tactics, or operational adjustments in markets they don't intimately understand. This approach also supports a capital-efficient strategy, enabling faster, less capital-intensive scaling than a fully direct ownership model. However, this empowerment of local entities must be balanced with consistency and standardised procedures. This major shift requires redesigning dozens of processes and re-architecting the current network. Thus, the changing model is still under review and needs further consideration.

Quality Services

GC Logistics delivers exceptional services tailored to customer and market demands. In collaboration with its network partners, the company aims to provide high-quality solutions. It actively manages and optimizes network density to maintain adequate capacity for

transportation and distribution during peak and off-peak seasons, enhancing customer service by reducing delivery times and increasing fulfilment accuracy. Additionally, GC Logistics offers ancillary services and innovates based on market needs. For instance, it provides express delivery options that include 365-day operation, 24-hour customer support, and a broad range of cash-on-delivery services.

Geography is the main obstacle to the company's operations. Indonesia's market is an archipelago with over 17,000 islands, many remote. The delivery challenges stem from underdeveloped transportation infrastructure—such as roads, ports, and airports—as well as limited network coverage and difficulty accessing remote areas. Additionally, routing errors, delivery failures, and last-mile inefficiencies frequently occur in these fragmented, unmapped regions with ambiguous addresses. The primary issue is the lack of standardized, well-organized addresses, which hampers operational efficiency. As a result, GC Logistics recorded an average complaint rate of 5.5 per million parcels in 2023.

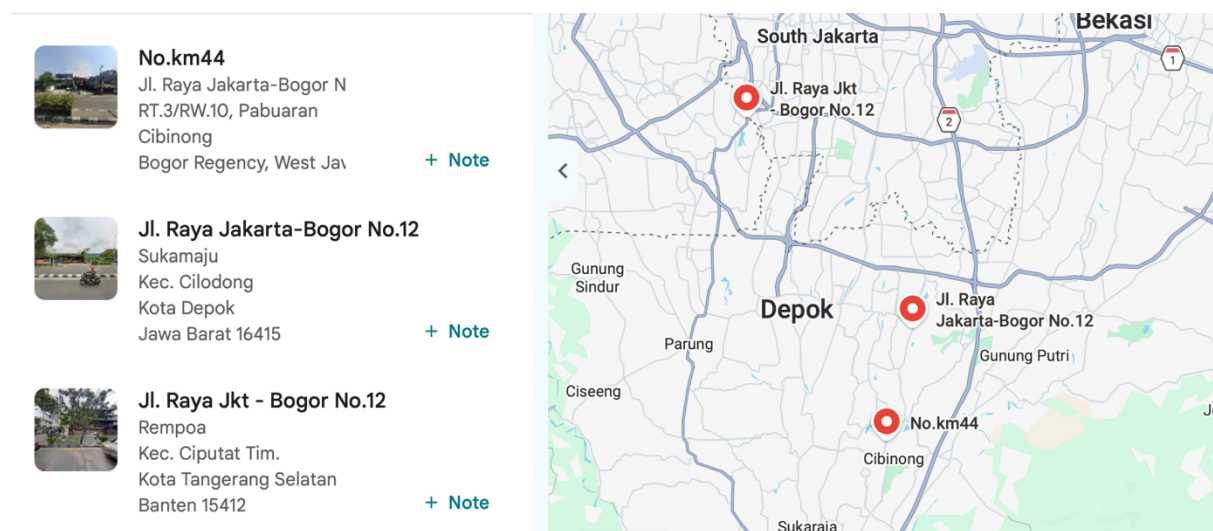


Figure 1 Illustration of Ambiguous Addresses

Another operational issue is the waiting time for the recipient to collect the package. A delivery driver's efficiency depends greatly on whether the recipient is available when they arrive. Often, drivers reach the address but have to wait because the recipient isn't home, can't answer the phone, or is temporarily unavailable. If the delivery fails, the driver might need to reschedule or return the parcel to a drop point. This results in unproductive waiting, extends the route, and limits the number of parcels delivered each day. In Indonesia, similar courier experiences report individual attempts taking 10–20 minutes when access is difficult, and unsuccessful tries lead to parcels being returned.

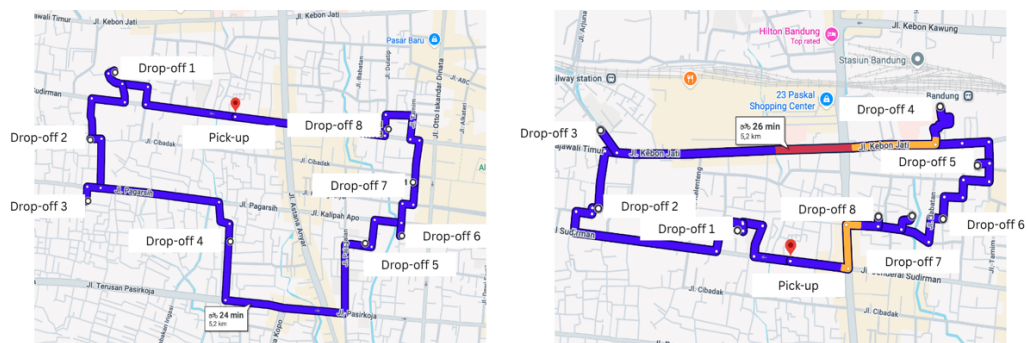
The situation becomes more complex with Cash on Delivery (COD) shipments. Unlike prepaid parcels, drivers cannot simply leave the package with a household member or complete the delivery without first securing payment. They must verify the recipient, collect the COD payment, and capture the necessary delivery confirmation before handing over the parcel. Operational policies clearly state that payment must be received before the parcel is handed to the recipient.

If the customer is unprepared with the payment, unfamiliar with the COD process, or wishes to inspect the package prior to payment, the driver's waiting time can increase significantly. Courier accounts also report disputes and misunderstandings related to COD, making deliveries more challenging.

“Kalau sampai rumah tapi orangnya belum ada, kita mau tidak mau harus menunggu. Kadang lima menit, kadang bisa sampai 15–20 menit. Sementara masih banyak paket lain yang harus diantar.” — Jakarta driver

“Kalau COD lebih susah. Kita bukan cuma antar paket, tapi harus tunggu orangnya siap bayar. Kadang uangnya belum siap, kadang penerima mau buka paket dulu. Kalau harus menunggu, rute berikutnya ikut terlambat.” — Surabaya driver

“Di hari biasa mungkin masih bisa dikejar. Tapi kalau paket sedang banyak, waktu 10 menit di satu rumah bisa membuat kita kehilangan beberapa delivery berikutnya.” — Bandung driver



Comparison	Non-COD	COD
No. of packages	8	8
Distance	± 5.3 km	± 5.3 km
Travel route time	± 75 minutes	± 138 minutes

Figure 2 Illustration on Non-COD vs COD Delivery Route and Time Completion

In GC Logistics markets, the high COD ratio remains a key payment option and a characteristic of consumer shopping behaviour. Although online shopping is expanding quickly, cash remains the most trusted and widely used payment method for many people. A large portion of online shoppers lack the credit cards, bank accounts, or digital wallets needed to complete online transactions. Drivers collect cash, which is then recorded and reconciled before settlement with the merchant. Currently, a regional hub manages the cash management system, but the process is complex, time-consuming, and prone to human error.

Demand

The three largest shipment categories were fashion, documents, and beauty products, with fashion contributing the largest share, accounting for more than 45% of total shipment volume.

The growth in shipment volume in Indonesia reflects increasing public trust in GC Logistics, in line with the continued development of the country's e-commerce ecosystem. Commenting on this achievement: “The growth of shipment volume reflects increasing public trust in GC Logistics services.”

Fluctuations in demand, whether driven by predictable seasonal shopping peaks, shifting product types, or sudden regulatory and political shocks, present significant operational challenges in GC Logistics. During massive e-commerce shopping festivals, some regional hubs were unable to handle the surge in parcels. For example, during the "Double 12" shopping festival in 2022, Regional Hubs in Jakarta 1 were required to assign some of their packages to other hubs due to their capacity. The highest of all time during peak season in Indonesia can handle more than 3 million parcels per day. As package volumes surged, parcel handling became increasingly slow. This delay in sorting and processing caused customer dissatisfaction, especially amid rising expectations for express delivery.

Demand fluctuations are not solely seasonal. Sudden changes in government policies can cause unexpected volume shocks. For instance, in late 2023, Indonesia's policy adjustments resulted in the temporary suspension of TikTok Shop. This abrupt regulatory change led to a significant, unforeseen decline in parcel volumes from e-commerce clients in the fourth quarter, negatively affecting the company's profitability for the latter half of the year.

Table 4 GC Logistics Monthly Demand, 2023 (unit: million parcels)

Month	Total Demand	E-commerce Demand
Jan	78	46
Feb	82	61
Mar	92	58
Apr	105	64
May	92	54
Jun	98	60
Jul	101	62
Aug	105	65
Sep	98	57
Oct	82	40
Nov	86	41
Dec	91	43
Total	1,110	641

GC Logistics recognised the need to significantly reduce its carbon footprint as part of its long-term sustainability goals and commitment to more responsible logistics operations. Continuing to transport packages through less energy-efficient vehicles was not only costly due to higher fuel consumption and operating expenses, but could also negatively affect GC Logistics' reputation among environmentally conscious customers, business partners, and stakeholders.

GC Logistics has begun integrating environmental protection and sustainability into its day-to-day logistics operations, with a particular focus on fleet decarbonization and eco-friendly packaging solutions. As part of its fleet transformation, GC Logistics plans to deploy more than 200 clean-energy vehicles by the end of 2026, gradually reducing its reliance on conventional fossil-fuel-powered vehicles for selected delivery operations. In parallel, the company is exploring more sustainable packaging alternatives, including fully degradable waterproof delivery bags designed to reduce the environmental impact of single-use packaging, as well as reusable transit bags that can be used repeatedly across sorting and transportation activities. Through these initiatives, GC Logistics aims not only to reduce emissions and packaging waste but also to demonstrate that environmental sustainability can be integrated into logistics operations without compromising service reliability and the customer experience.

GC Logistics faces several key challenges in its strategic decision

1. Compare the logistics models! Should the Direct Operation Model be shifted to the Regional Sponsored Model?
2. How to handle dramatic fluctuations in demand volume?
3. Analyse the COD system! Compare the processes for assigning drivers to COD and non-COD packages, make recommendations, and analyse their impacts.
4. Generate a roadmap and benefit-cost analysis on the sustainability initiatives.
5. Justify the market expansion strategy. Is it profitable?
6. Other strategy to reduce cost while maintaining revenue? Consider the sustainability aspect.

Instructions:

Get your team together and work on the case.

We need your solution to the case no later than **5:00 PM GMT+7 on September 23, 2026.**

The solution will be a combination of a PowerPoint presentation and a video (uploaded on YouTube).

Teams are not required to create a specific number of slides or papers, but must use their best judgment to create an effective, persuasive presentation.

The video should be as if presenting the case to ISCEA Judges live.

Each video presentation should be no longer than 15 minutes, and all team members will need to be involved in the video, each presenting parts of the solution.

Please email the solutions (PowerPoint presentation and Video Links) to:
GlobalDesk@iscea.com and admin@isceaindonesia.com

In your email, please clearly list each team member's name, email address, and university or company. Use the following format for the Presentation and Video name as well as the subject line of the email to us: **ISCEA Global Case Competition 2026-Indonesia-Team Name**

We will announce the Winners on September 30, 2026.

Have Fun! Learn! Get Recognised!